



PROFIT WARNING FOR THE YEAR ENDING 30 JUNE 2013 IN COMPLIANCE WITH CMA REGULATIONS

Mumias Sugar Company ("the Company") makes this announcement pursuant to Capital Markets Authority regulations for publicly listed companies. The Company currently projects that earnings for the full year ending 30 June 2013 may be materially lower than reported for the same period in 2012. The first half of the financial year has been challenging due to cane shortages arising from declining yields as a result of drought conditions experienced in late 2011 and early 2012 that affected plant crop harvested in the period under review and cane poaching by competitors. Consequently, our integrated production plants of sugar, co-generation (energy), ethanol and water have operated below the installed capacity. Sugar prices fell by over 30% compared to similar period last year impacting negatively on our revenues.

It is expected that the anticipated earnings for the financial year ending 30 June 2013 will be lower than the previous year's by more than 25%.

The outlook for the second half of the year is stronger, and we expect improved profitability. Management continues to implement measures that will ensure consistent supply of sugarcane, improved factory production processes and cost control in the business value chain.

The company has completed its diversification initiatives whose benefits will be realized in the coming years.

The Board of Directors is taking measures to safeguard shareholder value.

BY ORDER OF THE BOARD

A stylized signature in black ink, consisting of several loops and a long horizontal stroke at the end.

E K Otieno

Company Secretary

27 February 2013



UNAUDITED RESULTS

FOR SIX MONTHS ENDED 31 DECEMBER 2012

**CONDENSED STATEMENT OF COMPREHENSIVE INCOME
FOR THE SIX MONTHS ENDED 31 DECEMBER 2012**

	2012	2011
	Shs'000	Shs'000
Revenue	5,426,043	6,921,870
Fair value (loss)/gain on biological assets	(56,862)	29,557
Cost of sales	<u>(5,227,224)</u>	<u>(4,666,144)</u>
Gross profit	141,957	2,285,283
Other operating income	139,681	85,214
Marketing and distribution costs	(419,732)	(224,107)
Administrative expenses	(806,266)	(602,888)
Other operating expenses	(409,669)	(441,080)
Finance income	231,856	413,360
Finance costs	<u>(458,408)</u>	<u>(336,923)</u>
(Loss)/Profit before taxation	(1,580,581)	1,178,859
Taxation Credit/(Charge)	<u>474,174</u>	<u>(353,658)</u>
(Loss)/Profit after taxation	(1,106,407)	825,201
TOTAL COMPREHENSIVE (LOSS)/INCOME FOR THE PERIOD	<u>(1,106,407)</u>	<u>825,201</u>
Earnings per share - basic & diluted	<u>(0.72)</u>	<u>0.54</u>

CONDENSED STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 2012

	31 Dec 2012 Shs'000	31 June 2011 Shs'000
ASSETS		
Non-current assets	19,969,175	20,167,253
Current assets	<u>6,006,522</u>	<u>7,232,860</u>
TOTAL ASSETS	<u>25,975,697</u>	<u>27,400,113</u>
EQUITY AND LIABILITIES		
Shareholders' equity	13,852,279	15,723,686
Non-current liabilities	7,098,079	5,955,772
Current liabilities	<u>5,025,339</u>	<u>5,720,655</u>
TOTAL EQUITY AND LIABILITIES	<u>25,975,697</u>	<u>27,400,113</u>

STATEMENT OF CHANGES IN EQUITY
FOR THE SIX MONTHS ENDED 31 DECEMBER 2012

	Share capital Shs'000	Revaluation surplus Shs'000	Retained earnings Shs'000	Total Shs'000
At 1 July 2011	3,060,000	3,552,456	7,863,551	14,476,007
Total comprehensive income for the year	-	-	825,202	825,202
Final dividend declared – 2011	-	-	(765,000)	(765,000)
At 31 December 2011	3,060,000	1,465,148	7,291,029	11,816,175
At 1 July 2012	3,060,000	3,350,880	9,312,806	15,723,686
Total comprehensive income for the year				
Profit/(Loss) for the period	-	-	(1,106,407)	(1,106,407)
Final dividend declared – 2012	-	-	(765,000)	(765,000)
At 31 December 2012	3,060,000	3,350,880	7,441,399	13,852,279

CONDENSED STATEMENT OF CASHFLOWS
FOR THE SIX MONTHS ENDED 31 DECEMBER 2012

	2012 Shs'000	2011 Shs'000
CASH FLOWS FROM OPERATING ACTIVITIES		
Net cash (used by)/generated by operating activities	<u>(975,104)</u>	<u>151,697</u>
CASH FLOWS FROM INVESTING ACTIVITIES		
Net cash used in investing activities	<u>(475,176)</u>	<u>(1,942,075)</u>
CASH FLOWS FROM FINANCING ACTIVITIES		
Net cash generated by financing activities	<u>671,602</u>	<u>234,699</u>
(DECREASE) IN CASH AND CASH EQUIVALENTS	(778,678)	(1,555,679)
CASH AND CASH EQUIVALENTS AT 1 ST JULY	<u>(1,280,189)</u>	<u>656,435</u>
CASH AND CASH EQUIVALENTS AT 31 ST DECEMBER	<u><u>(2,058,867)</u></u>	<u><u>(899,244)</u></u>

BASIS OF PREPARATION

These condensed unaudited interim financial statements have been prepared in accordance with International Accounting Standard No. 34, "Interim Financial Reporting". They do not include all the information required for full annual financial statements and should be read in conjunction with the annual audited financial statements as at and for the year ended 30 June 2012, which have been prepared in accordance with International Reporting Financial Standard.

The accounting policies and methods of computations followed in the preparation of these interim financial statements are the same as those used in preparation of the annual financial statements as at and for the year ended 30 June 2012.

ECONOMIC ENVIRONMENT

Kenya's economy was relatively stable during the period under review. Real GDP growth was 4.5%, behind budgeted growth of 5.0% due to high interest rates and global economic fragility. Year on year inflation came down from 19% in December 2011 to 3.2% in 2012. This was attributed to good rains and stable shilling against the major world currencies. The interest rates rose sharply in 2012 to 24% increasing the cost of borrowing substantially.

SUGAR INDUSTRY

The sugar industry experienced a significant shortage of sugar cane in the Western Kenya sugar belt. Proliferation of mills in this region caused stiff competition for sugarcane resulting in heightened poaching. The situation was further aggravated by falling yields of production per hectare due to low soil fertility and lack of proper crop husbandry. Unpredictable rain patterns have also impacted negatively on supply of sugar cane.

EAC permitted Uganda and Tanzania countries to import duty free sugar from non-COMESA countries which flooded the regional market resulting in depressed prices.

RESULTS OVERVIEW

The results for the six months ended 31 December 2012 fell below the anticipated levels. During this period, the company was unable to operate at its full capacity due to low supply of sugarcane.

The company recorded a decline in earnings over the same period last year. This was mainly attributed to low activity levels in all the plants (sugar, co-generation, ethanol and water) and depressed sugar prices which were 30% below last year prices.

OPERATIONS

Cane availability was a major challenge as a result of drought, declining cane yield per hectare and cane poaching by other millers who have not developed their own cane.

Increase in cost of sugarcane and transport costs as a result of increased fuel price which eroded our margins significantly.

Sugarcane crushed totaled 852,181 tons which was 6% higher compared to 803,345 tons crushed last year. Sugar produced was 69,437 tons which was 7.8% higher than 64,435 tons produced last year. The company sold 68,775 tons of sugar which is 10.4% above 62,298 tons sold last year.

Sugar prices were depressed and were 30% lower than last year due to stiff competition from locally produced and imported sugar.

The co-generation plant revenue from sale of electricity was KES 162million in the period, which was 5.2% higher than KES 154 million realized last year.

For the six months, revenue from ethanol and water was KES 50 million and KES 10 million respectively. This was below expected performance and was due to challenges encountered after commissioning of the plants in 2011/2012 financial year.

The total net revenue was KES 5.4 billion compared to KES 6.9 billion achieved over the same period last year thus a 22% decline. The loss before taxation was KES 1,588 million compared to last year's profit of KES 1,259 million.

Loss per share for the period was KES 0.72 compared to earnings of KES 0.54 last year.

CREDIT RATING

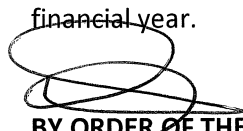
Mumias Sugar Company has maintained a competitive credit rating at A+ (Long term) and A1 (Short term) as per Global Credit Rating Company in December 2012. The board has observed that even though the Mumias is facing challenges in cane procurement, the company's financial position remains healthy. It is expected that once the new plants (Ethanol Distillery and Bottled Water) are fully operational, they will contribute positively to the earnings over the medium term. The rating is good amid the challenges facing the industry.

OUTLOOK

The company looks forward to better performance in the second half of the year despite the challenges as the supply of sugarcane is expected to improve due to adequate rainfall during the period under review.

The company has completed its diversification initiatives whose benefits will be realized in the coming years. This will form a platform of consolidation in preparation for the next phase of the company's expansion for sustainable growth and profitability.

Management maintains its focus on strategic initiatives that will improve efficiency and bolster production. The Board of Directors is optimistic that performance will improve in the second half of the financial year.



BY ORDER OF THE BOARD

Emily K. Otieno
Company Secretary
27 February 2012